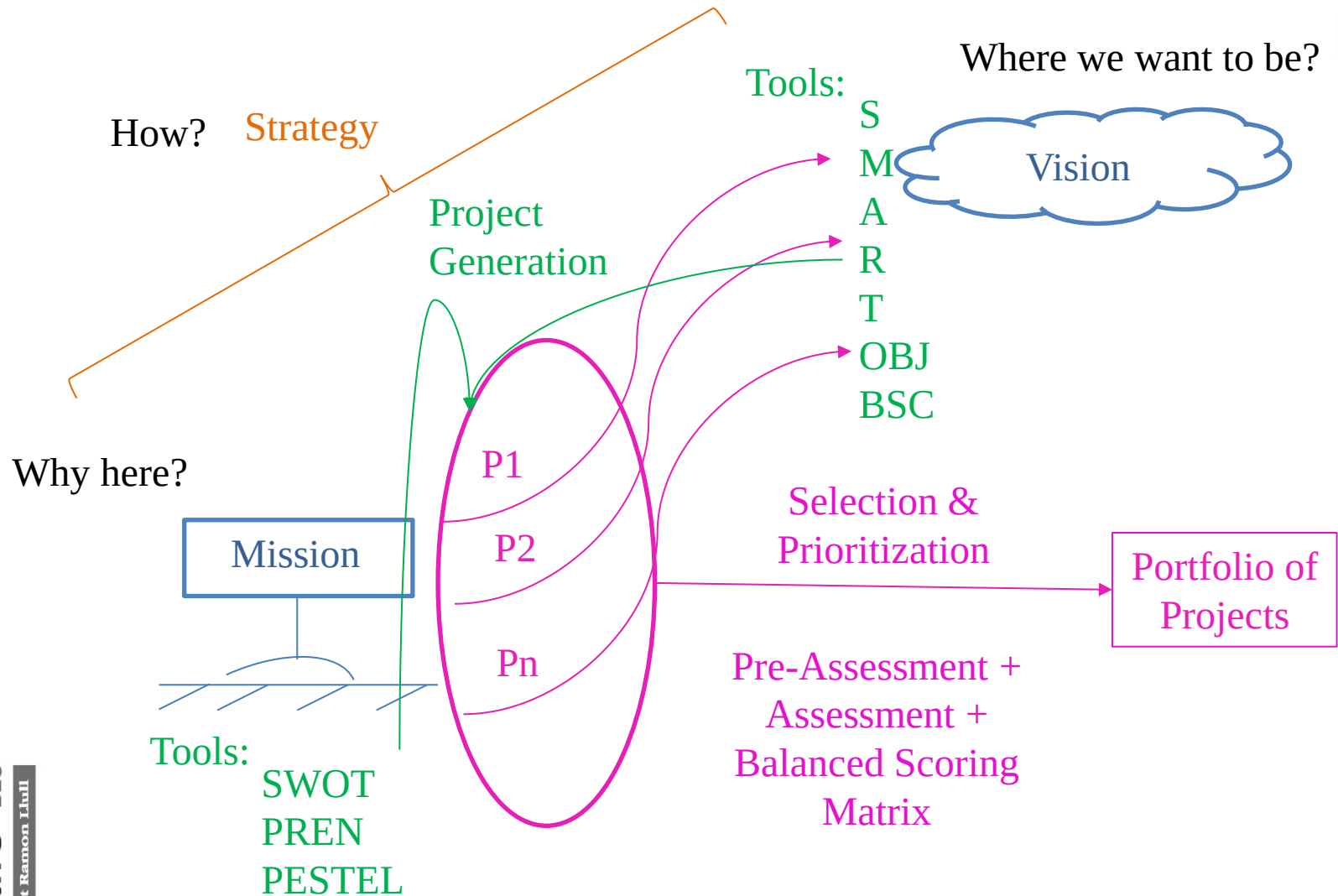


TG007 Project Management

S05 The Project Portfolio Management

Key Concepts from the last Session



Portfolio & Program Management



Objectives

1. To define Portfolio and Program Management
2. To understand the relationship between Portfolio, Program and Business Strategy
3. To identify the differences between program and portfolio
4. To define a Project Management Office
5. To understand the PMO implementation process



Portfolio & Program Management



Contents

- 1.1 Impact of projects in the organisation
- 1.2 Business Project Management
- 1.3 Project Portfolio Management
- 1.4 Project Program Management
- 1.5 Program/Project Management Office
- 1.6 Wrap-up



Portfolio & Program Management



Why is Project Portfolio Management Important?

Portfolio & Program Management

- **Strategic Alignment:** Ensures that all projects are aligned with the organization's strategic objectives, enhancing the likelihood of achieving long-term goals.
- **Resource Optimization:** Allows for the efficient allocation of resources across projects, minimizing waste and maximizing output with available assets.
- **Risk Management:** Helps identify and mitigate risks by providing a holistic view of all projects and their interdependencies, reducing potential impacts on the organization's goals.



Portfolio & Program Management

Enhanced Decision Making:

Facilitates better decision-making by providing executives with a comprehensive overview of all project activities, timelines, and resource allocations.

Increased Agility: Enables organizations to quickly adapt to changes in the market or within the organization by effectively prioritizing and reprioritizing projects.

Improved Financial Management: Supports financial forecasting and budget management by tracking project expenditures and expected returns across the portfolio.



Portfolio & Program Management



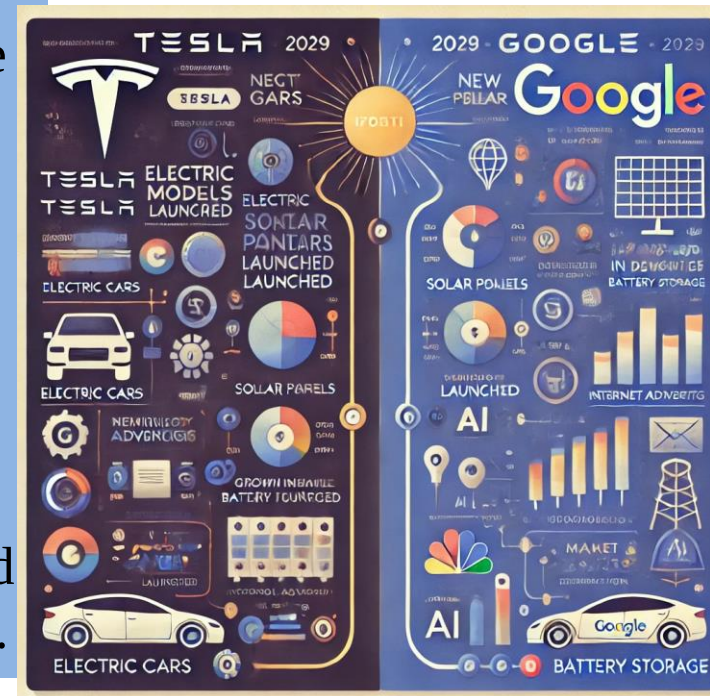
1.1 Impact of projects in the organization

Driving Innovation through Project Portfolio Management: Case Studies of Tesla and Google

Case Study 1: Tesla

- **Objective:** Tesla aims to accelerate the world's transition to sustainable energy through high-performance electric vehicles and renewable energy solutions.

- **PPM Approach:** Tesla's project portfolio includes diverse projects from electric cars to solar panels and large-scale battery storage solutions.



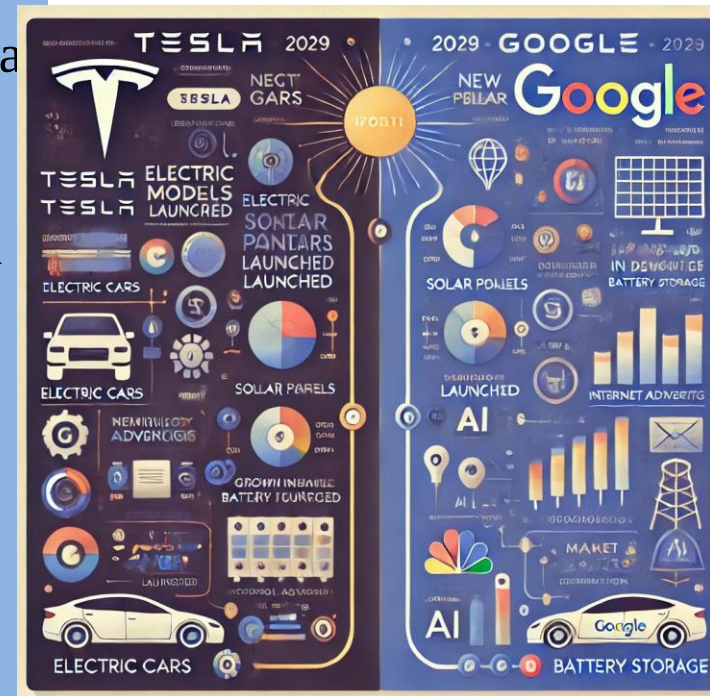
Their portfolio management focuses on aligning projects with long-term strategic goals while adapting quickly to technological advances and market demands.

Driving Innovation through Project Portfolio Management: Case Studies of Tesla and Google

Case Study 1: Tesla

• **Impact:** This approach allows Tesla to efficiently allocate resources across multiple projects, such as the development of new car models and expansion into renewable energy markets.

By prioritizing projects that align with their strategic goals, Tesla has successfully managed to innovate rapidly, leading to a significant expansion of their product line and global market presence.

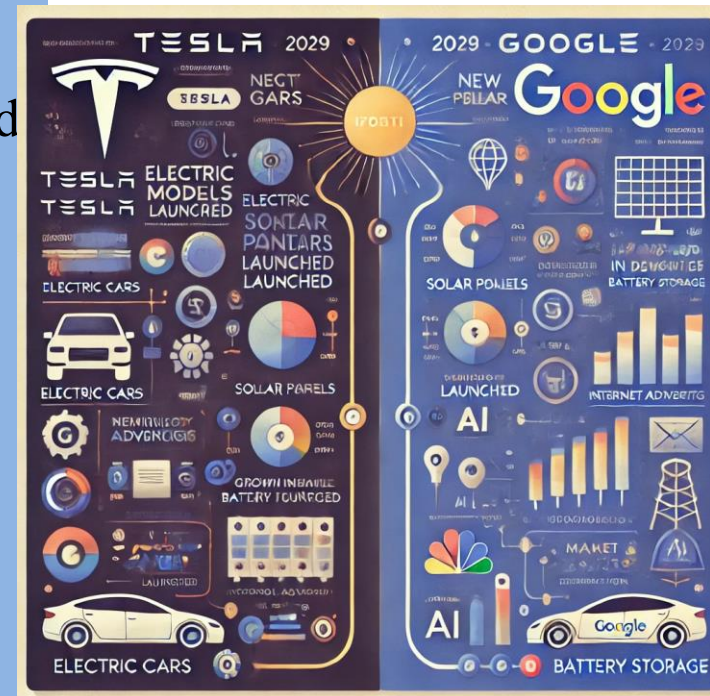


Driving Innovation through Project Portfolio Management: Case Studies of Tesla and Google

Case Study 2: Google

- Objective:** Google's mission is to organize the world's information and make it universally accessible and useful, pushing the boundaries of technology in numerous fields.

- PPM Approach:** Google's project portfolio is highly dynamic, encompassing areas like search engine technology, digital advertising, consumer electronics, and cutting-edge AI research.

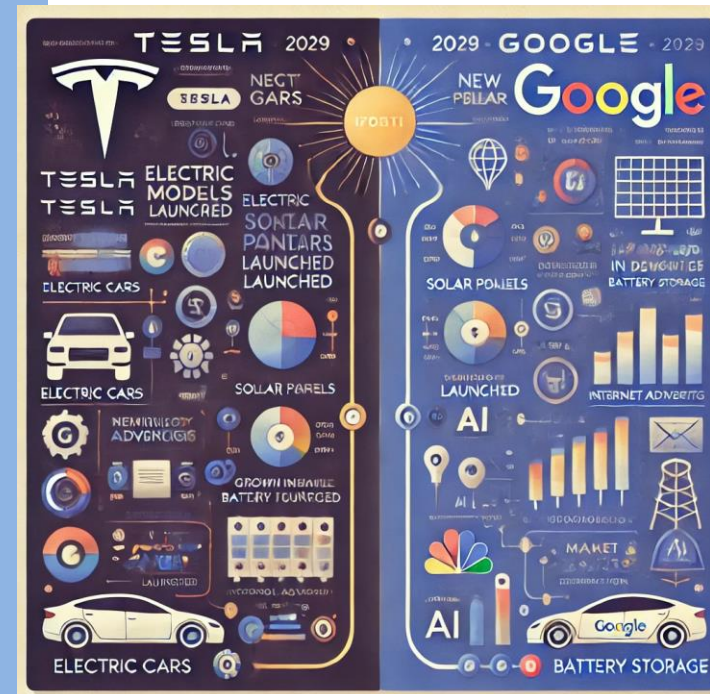


They employ a rigorous selection process to ensure projects align with strategic objectives while fostering a culture of innovation.

Driving Innovation through Project Portfolio Management: Case Studies of Tesla and Google

Case Study 2: Google

•**Impact:** Google's portfolio management enables them to manage and synchronize multiple high-stakes projects, facilitating effective cross-functional collaboration and resource sharing. This not only boosts innovation but also ensures that high-potential projects receive the necessary support to thrive, enhancing their market leadership and technological supremacy.



Impact of projects in the organization



- Do the projects impact in Organizations?
- What kind of impact?
- Is the same impact on any business or organization?
- Can you measure the impact?





Impact of projects in the organization

Identifying, planning and executing the project impacts in any organization:

1. To the people within the organization
2. To the roles and responsibilities
3. To clients, suppliers and other stakeholders
4. To the P&L, Stock Exchange and other economic results
5. To the company's image and reputation
6. To the national and international media
7. To other related organizations and competitors
8. To the natural environment
9. To the social context

Portfolio & Program Management



1.2 Business Project Management

Business Project Management



Companies are very demanding in project selection:

1. Pressure to reduce costs
2. Visibility to shareholders, investors and clients has increased
3. Increasing productivity with less resources is a must
4. Stakeholders' expectations are higher. Knowledge has increased, but so have demands
5. Higher pressure from competitors. Voracious markets. If you find a new and profitable market, don't accommodate; competition will grow in no time (remember "time to market" and "product roadmap")
6. Failed actioned strategies do not have a second chance to recover (specially in the small and medium organizations)

Business Project Management

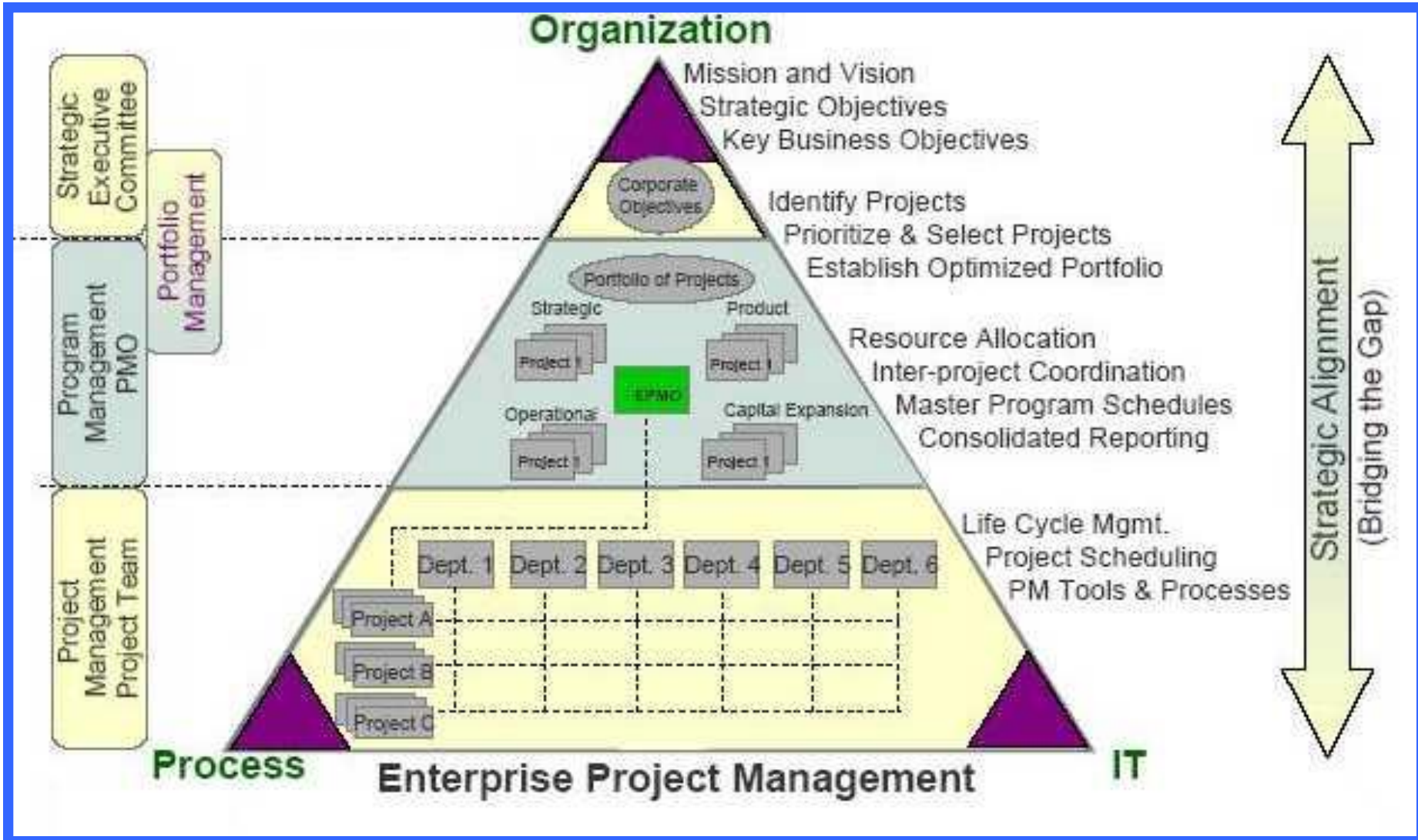


What are the risks of having the wrong project selection policy?

1. Non-productive investments; low return
2. Decreasing turnover; increasing operational costs
3. Losing competitive advantages and market positioning
4. Decreasing value given to shareholders; lower share value
5. It can escalate to financial crisis and bankruptcy

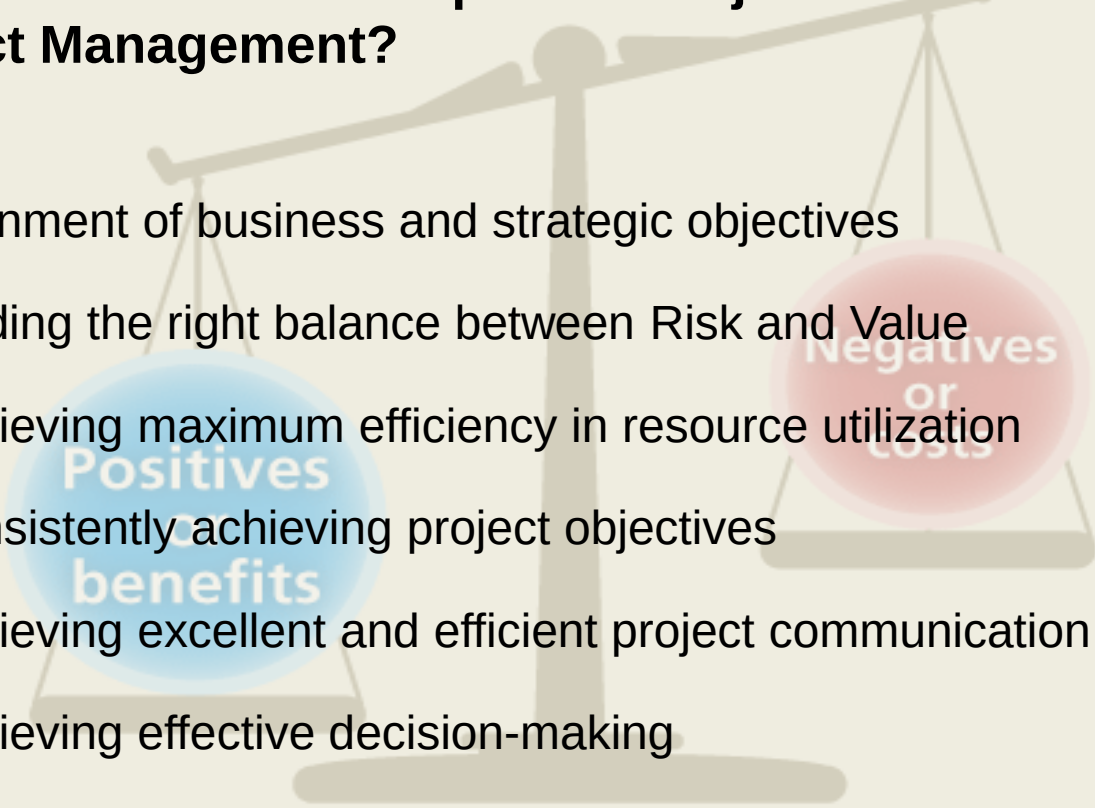


Business Project Management

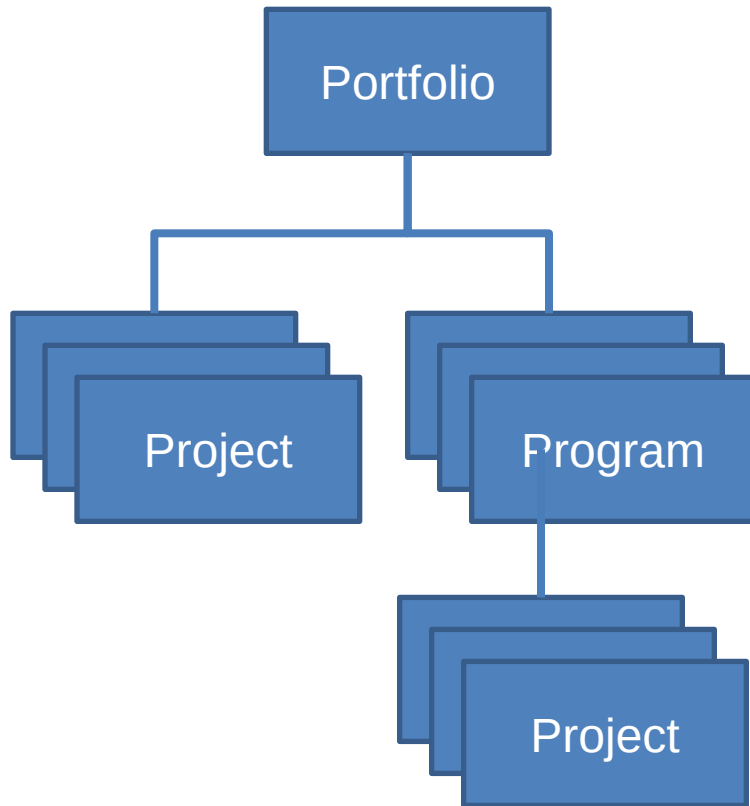




What are the most important objectives of Business Project Management?

- 
1. Alignment of business and strategic objectives
 2. Finding the right balance between Risk and Value
 3. Achieving maximum efficiency in resource utilization
 4. Consistently achieving project objectives
 5. Achieving excellent and efficient project communication
 6. Achieving effective decision-making

Project Portfolio

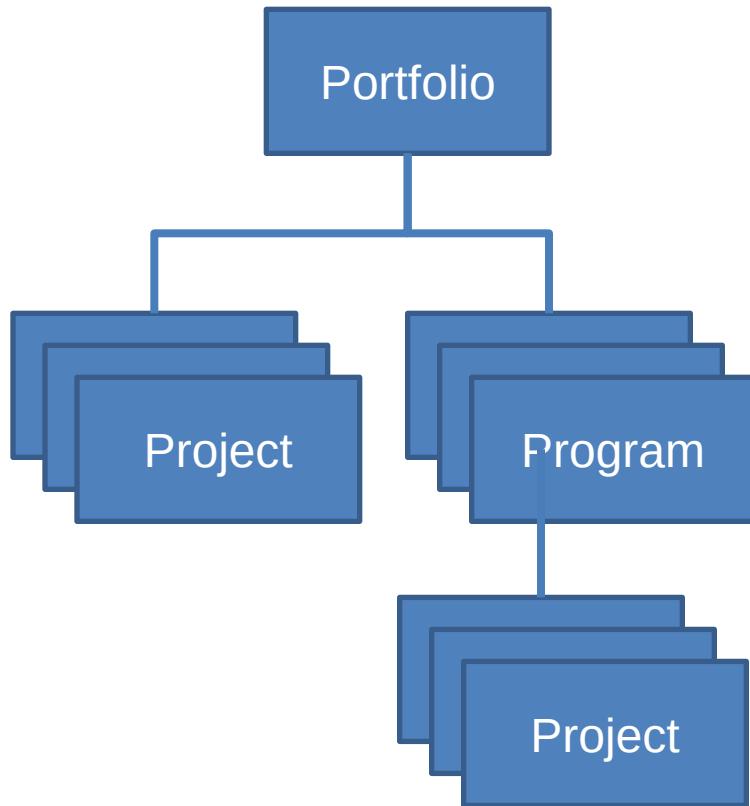


PROJECT PORTFOLIO

- It is a structured process used to explore opportunities for capital investment, with the aim of developing these opportunities and maximizing the value of the investment.
- A portfolio should reflect the intent and strategic direction of an organization or individual. This is where the priorities are identified, investment decisions are taken and the main resources are allocated.

ENSURING THAT BUSINESS STRATEGY IS ACHIEVED

Project Program



PROJECT PROGRAM

- A program is a group of related projects managed in a coordinated way to obtain benefits and control which would not be obtained if they were addressed individually.
- Program management is the centralized and coordinated management of a group of projects to achieve strategic objectives and program benefits

ENSURING BEST RESULTS AND PROFITABILITY

Portfolio & Program Management

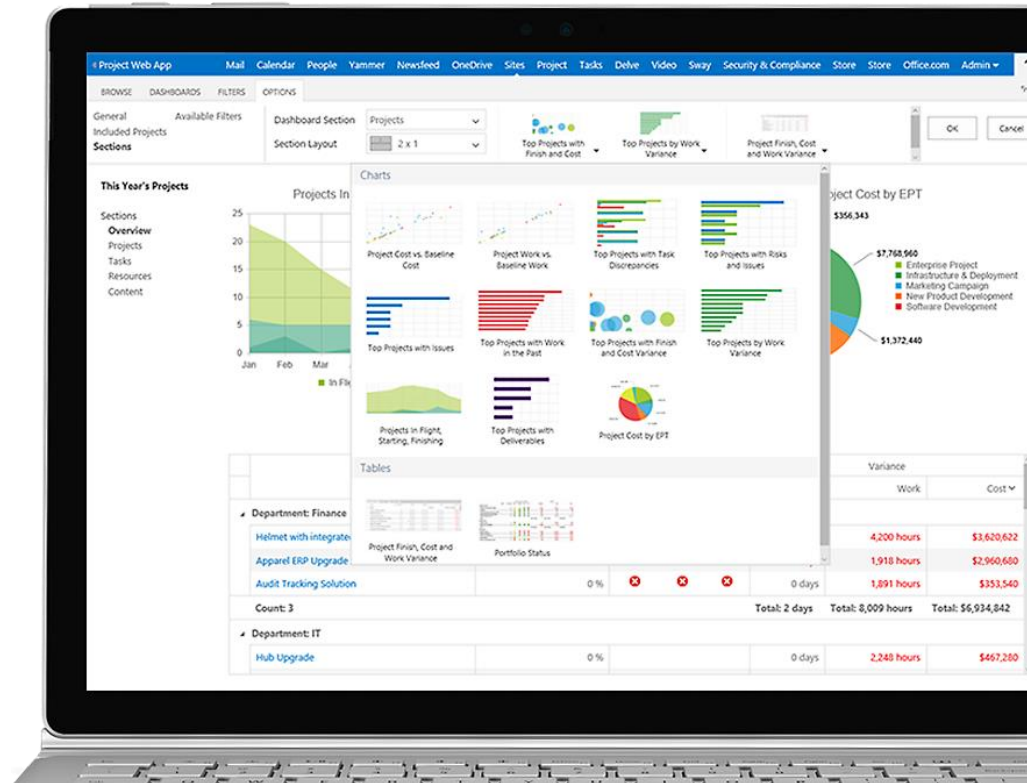


1.3 Project Portfolio Management

Portfolio Management

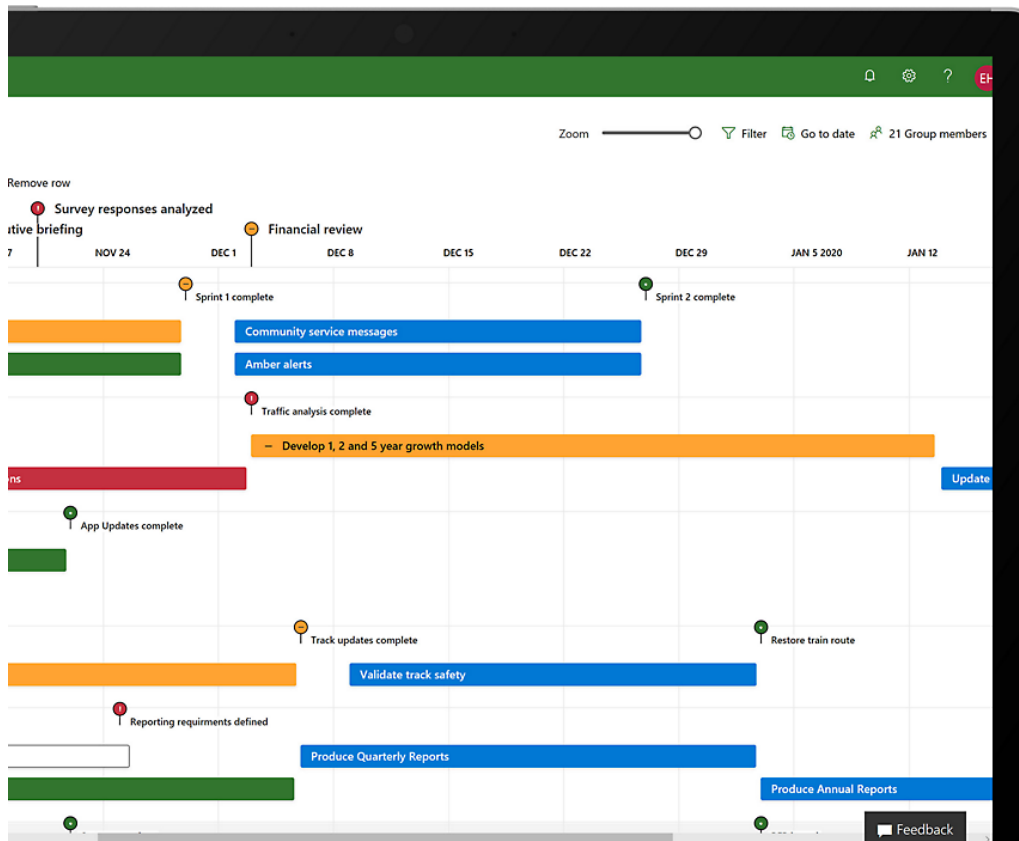
Tools in Portfolio Management: Microsoft Project

Drive portfolio optimization



Portfolio Management

Tools in Portfolio Management: Microsoft Project

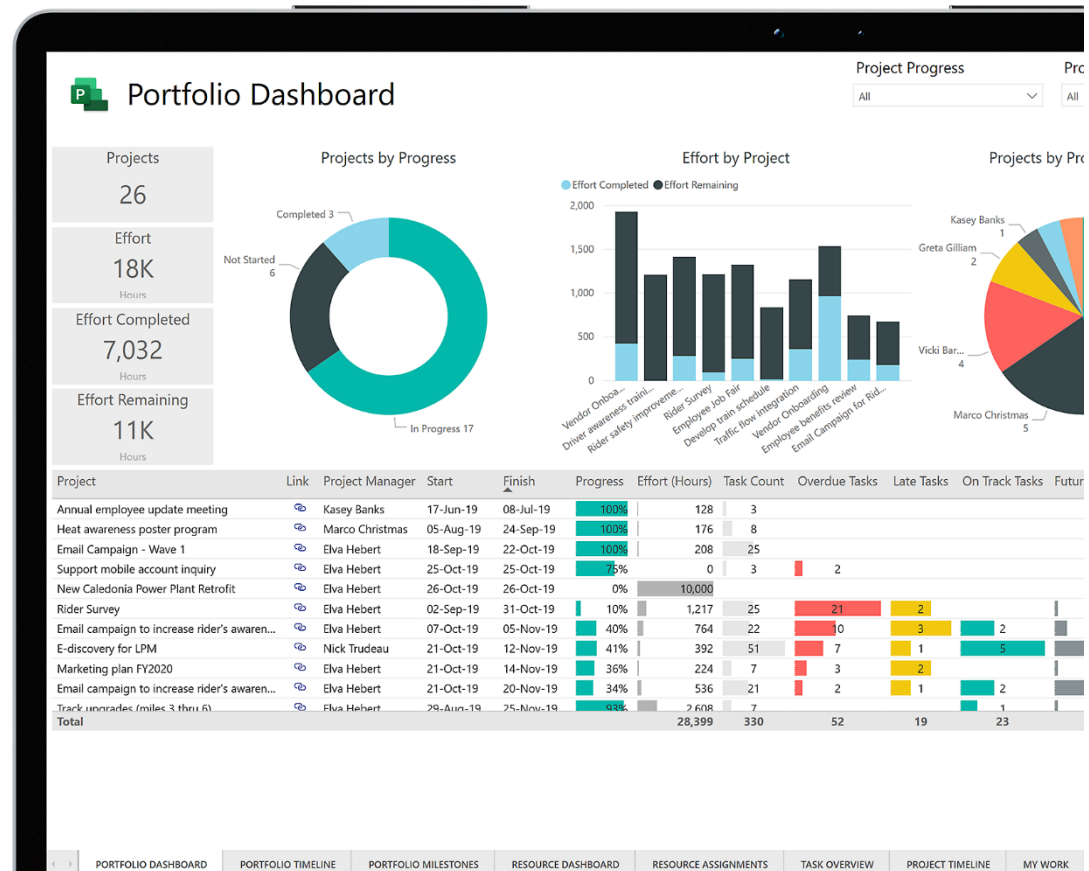


Get the big picture across programs and projects

Portfolio Management

Tools in Portfolio Management: Microsoft Project

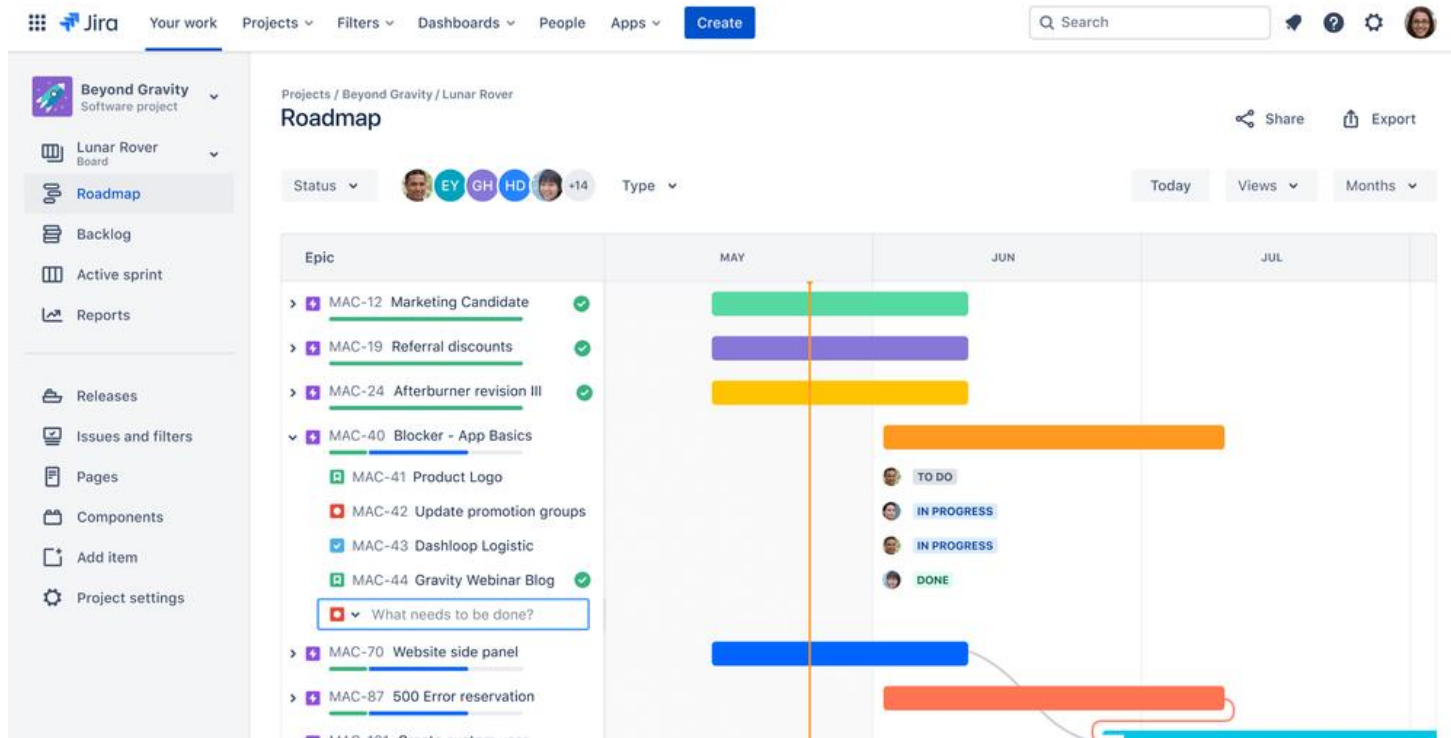
**Transform
project data
into actionable
insights**



Portfolio Management

Tools in Portfolio Management: Jira Portfolio

Advanced Roadmaps



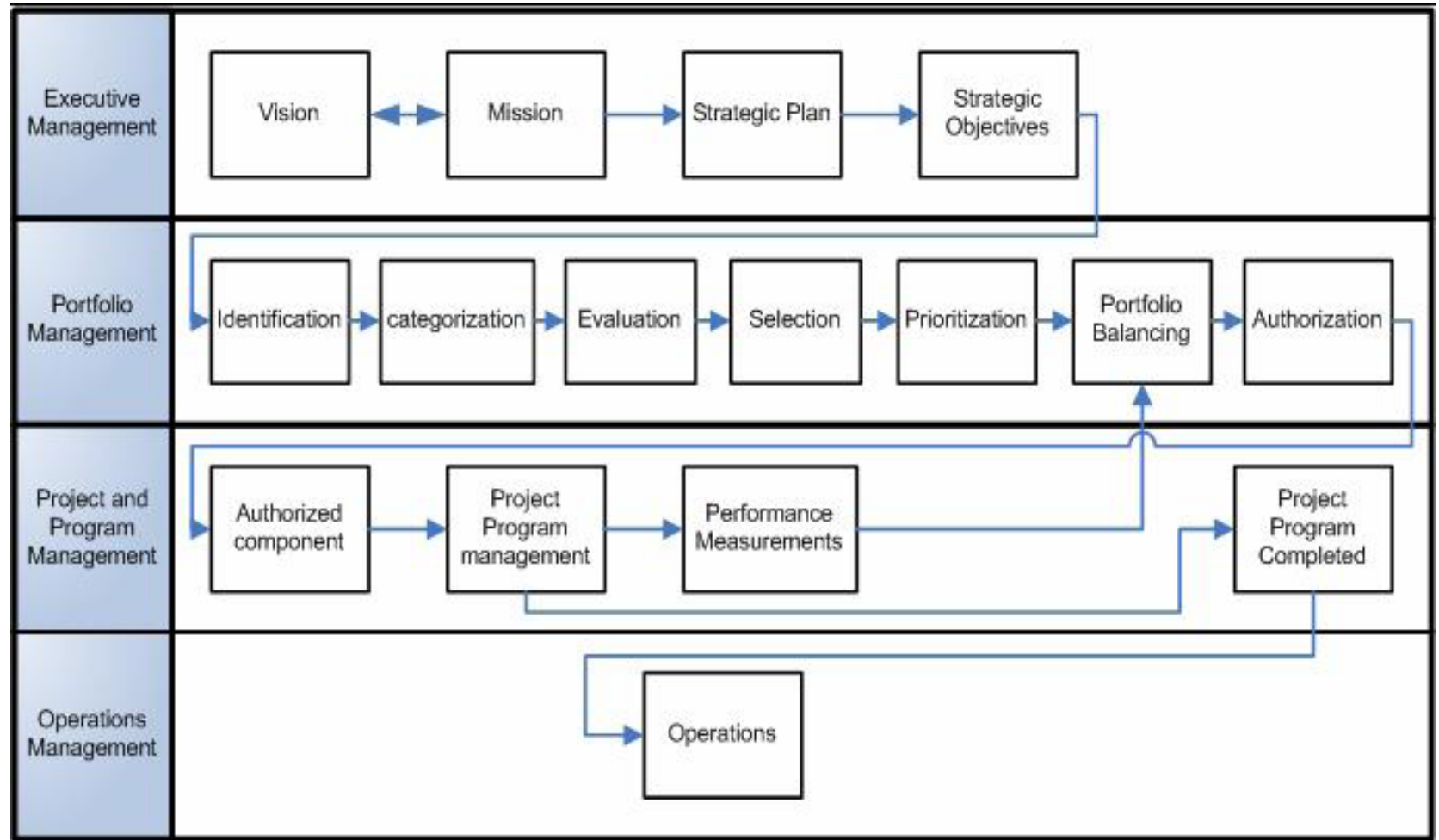
Portfolio Management



- **Project Portfolio:** it is a group of projects and other tasks, coordinated and managed effectively, with the aim to achieve strategic business goals
- A project portfolio must answer the following three questions:
 1. What are the best projects to implement considering the Organization's available budget and resources capacity?
 2. Are we being effective in relation to the project's cost / benefit?
 3. Are we obtaining the best possible results from the project portfolio?
- Managing a Portfolio includes the identification, prioritization, approval, management and control of projects, programs and other related work to achieve strategic business goals

Portfolio Management

Completed flow (PMI Vision)



Portfolio & Program Management



1.4 Project Program Management

Program Management

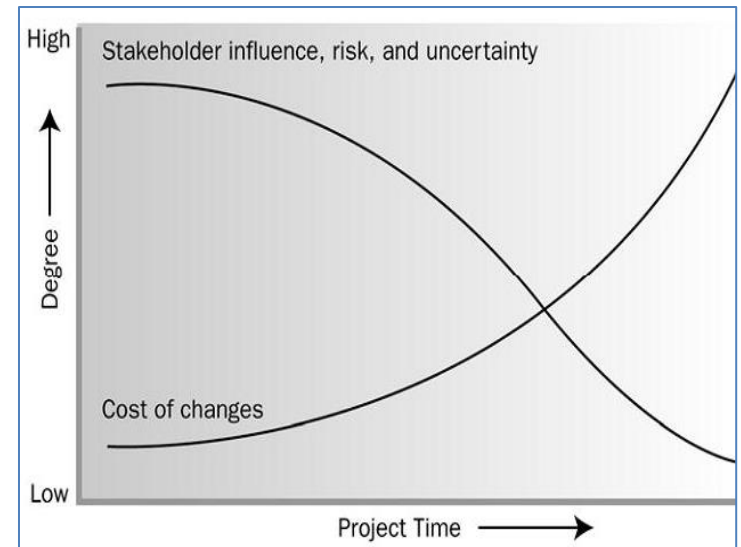
- A **program** is a group of related projects managed in a coordinated way to obtain the benefits and control which would not be obtained if they were individually targeted
- Programs may include elements of work that fall outside the scope of the specific projects in the program
- **Program management** is the centralized and coordinated management of a group of projects to achieve strategic objectives and program benefits



Program Management

Program management has the following key objectives:

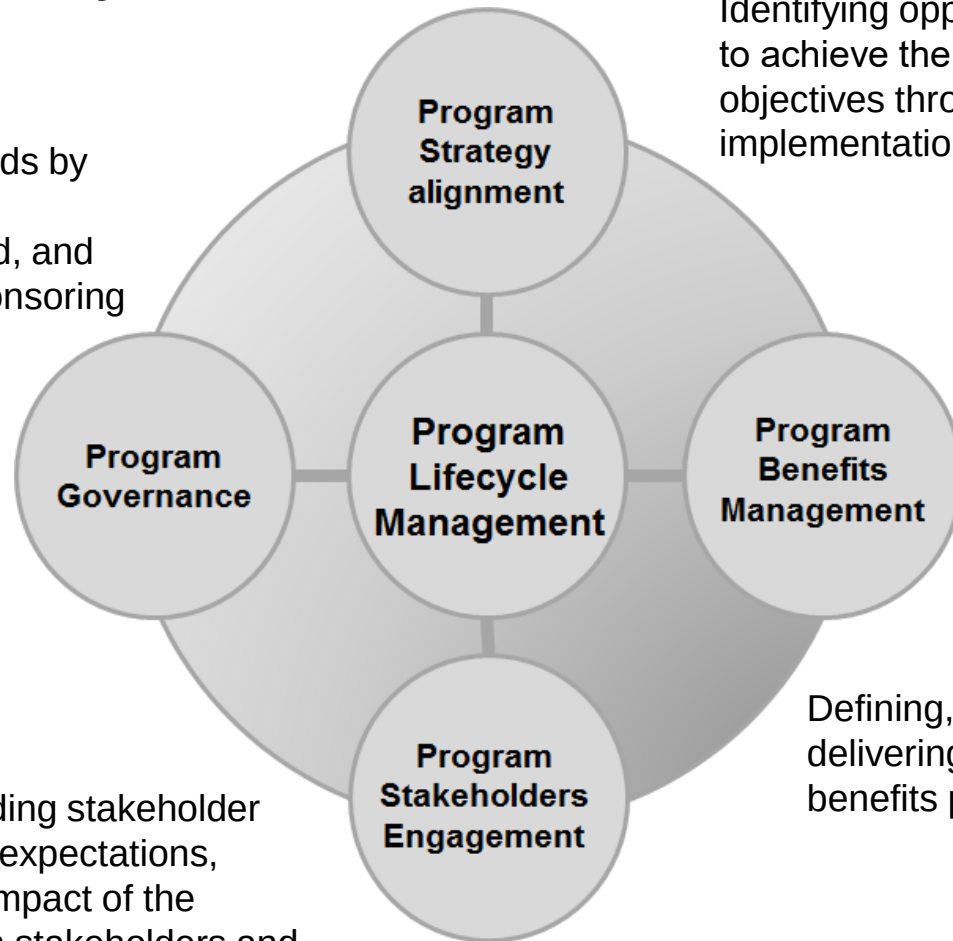
- Ensuring that the projects carried out achieve the (key business) **objectives** and results expected by the organization
- To manage the (huge) **complexity** of the coordination and the communication flow between the different projects or elements of a project
- To plan and manage the (huge) **impact** of the project(s) within the organization, including managing stakeholder's expectations, managing change and ensuring that strategic results are achieved over and above each specific project



Program Management

Program Lifecycle

Systems and methods by which a program is monitored, managed, and supported by its sponsoring organization.



Identifying opportunities and benefits to achieve the organization's strategic objectives through program implementation.

Understanding stakeholder needs and expectations, analyzing impact of the program on stakeholders and gaining stakeholder support.

Defining, creating, maximizing, delivering, and sustaining the benefits provided by the program.

Program Management

Conclusions

What factors may justify setting up a program?

- The project(s) benefits are of strategic nature and significant impact in the organization
- Planning and coordination are complex (dependencies between different projects)
- The expected result can only be achieved by combined deliverables



Business Project Management



and finally...



Business Project Management

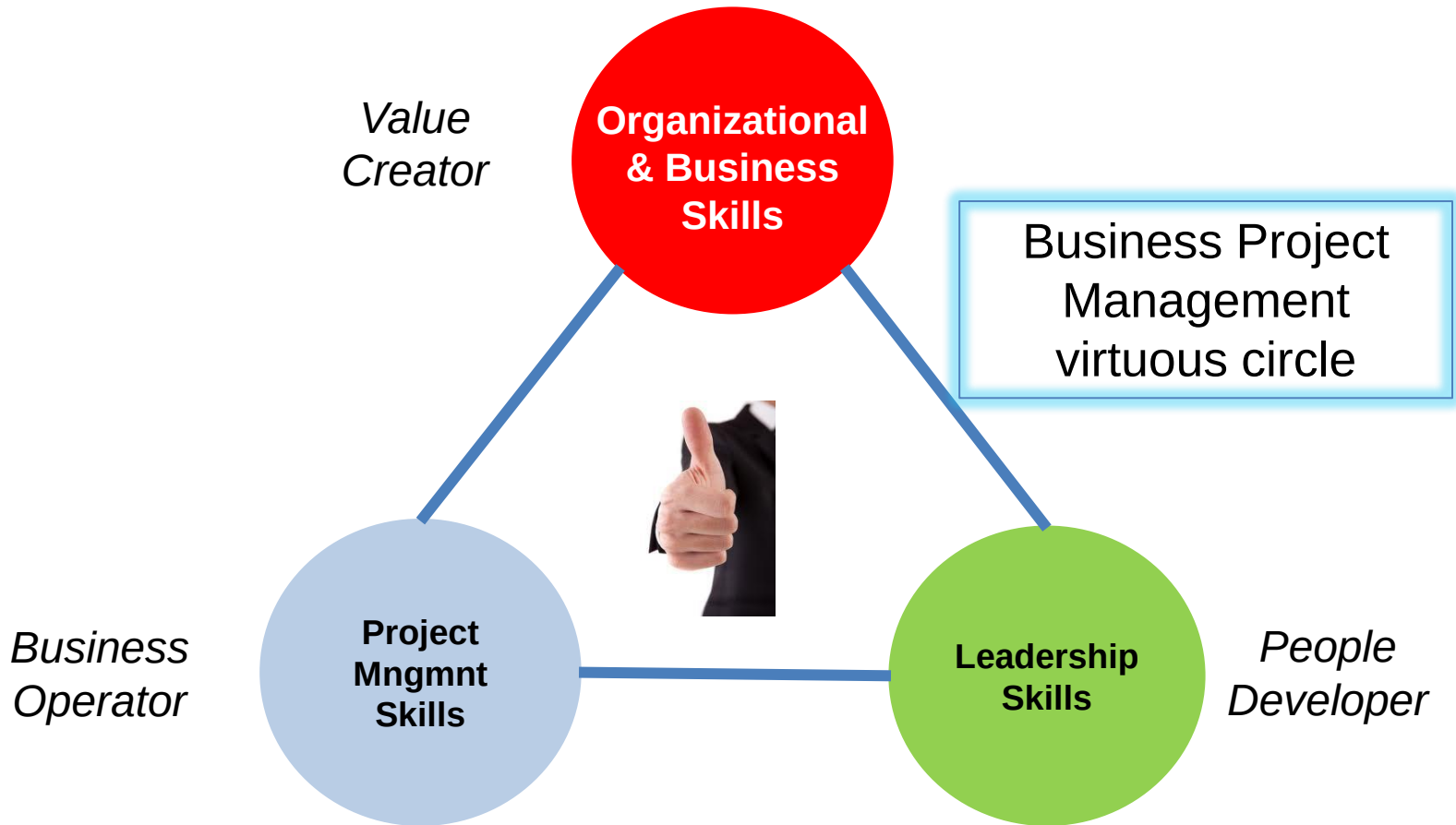


A Project Manager must have the knowledge and competencies related to:

- The business strategic objectives and the company's organization and policies
- Managing the interaction between projects and the organization, both internally and externally (Stakeholder Management)
- Facilitating the transfer of knowledge once the project has finished (Transfer Plan – implementation, user's manual)
- Identifying and mitigating the risks related to the project, applying specific actions to minimize the impact on the organization, its stakeholders and the market (Risk Management Plan)
- Establishing adequate and efficient communication policies

Business Project Management

A Project Manager must have the knowledge and competencies related to:





Wrap Up

- **Strategic Alignment and Business Impact:** Highlighted the importance of aligning projects with organizational strategic goals to maximize business impact and efficiency.
- **Portfolio Management:** Centralized management of one or more project portfolios to achieve strategic objectives. This includes identifying, prioritizing, and overseeing projects to ensure that they align with organizational goals and deliver optimal returns.
- **Program Management:** Coordinated management of related projects designed to enhance organizational performance. A program aligns closely with strategic business objectives and aims to achieve benefits not available from managing projects individually
- **Project Portfolio Management (PPM) Fundamentals:** Structured process of project selection and prioritization to maximize business value and resource allocation.

Project Portfolio Management

